

1. **22CV00518 Rivera, Jose v. Chavoya, Martha et al**

EVENT: Motion for Interlocutory Judgment Approving Partition By Sale of Real Property and Appointment of Referee

Motion for interlocutory judgment is denied.

Counsel is ordered to appear and be prepared to select a court trial date in 2027. The Court notes Defendants have admitted that Plaintiff is a current owner of the property. Consequently, that issue is conclusively established.

Thus, the matters to be determined at the court trial are the respective percentage interests in the property, any accounting issues, and whether the manufactured home is included in the sale.

2. **23CV01923 Greenberg, Stuart et al v. Jacques, Michael et al**

EVENT: Defendant William Jacques' Demurrer to Third Amended Complaint

The TAC Sufficiently Alleges a Confidential Relationship Applicable to the Underlying Disputes in this Case

Weiner v. Fleischman at p. 482:

A joint venture is "an undertaking by two or more persons jointly to carry out a single business enterprise for profit. [Citations.]" (*Nelson v. Abraham* (1947) 29 Cal.2d 745, 749 [177 P.2d 931].) "Like partners, joint venturers are fiduciaries with a duty of disclosure and liability to account for profits." (9 Witkin, Summary of Cal. Law (9th ed. 1989) Partnership, § 19, p. 418.)

Here, the TAC alleges Plaintiff and William had a confidential relationship due to various business ventures. Thus, the TAC sufficiently alleges a confidential relationship to the extent they owed each other duties with respect to matters related to those business ventures.

William argues that even if his prior business dealings created a fiduciary or confidential relationship, such fiduciary obligations would not apply to business dealings for which

William was not involved. The Court's research indicates this contention is generally correct, as some nexus between the alleged wrongful conduct and the underlying business relationship is required. (See *McCain v. Phoenix Res.* (1986) 185 Cal.App.3d 575, 589 ["matters affecting their business relationship" ... "matters affecting the value of the partnership"])

However, under the broadest definition, a fiduciary relationship "precludes the idea of profit or advantage resulting from the dealings of the parties and the person in whom the confidence is reposed." (*Wolf v. Superior Court* (2003) 107 Cal.App.4th 25, 30) [Emphasis Added] Here, the underlying disputes concern Michael Jacques and AOIS. According to paragraph 254 of the TAC William was a member of the board of directors and a shareholder of AOIS. Thus, it is theoretically possible that William gained an advantage from his allegedly less than transparent communication with William. Consequently, the Court finds the TAC has sufficiently alleged, for pleading purposes, a confidential or fiduciary relationship which relates to the underlying disputes.

Intentional Misrepresentation

The demurrer is OVERRULED.

On the element of justifiable reliance, William disputes the factual allegation that Greenberg was not a sophisticated investor.

Weil & Brown California Practice Guide (The Rutter Group) (2022) Civil Procedure Before Trial, Demurrer, [7:44]

No matter how unlikely: The sole issue raised by a general demurrer is whether the facts pleaded state a valid cause of action – not whether they are true. Thus, no matter how unlikely or improbable, plaintiff's allegations must be accepted as true for the purpose of ruling on demurrer. [*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 CA3d 593, 603]

Although a trier of fact may find Plaintiff was a sophisticated investor we have to accept the allegation as true on demurrer.

On the element of causation, paragraph 13 of the TAC sufficiently alleges causation in that Plaintiff continued to rely on William's alleged false representations by continuing to do business with Michael.

Constructive Fraud

The demurrer is OVERRULED. As discussed, the TAC sufficiently alleges a fiduciary relationship. Consistent with that discussion, the TAC sufficiently alleges William obtained an advantage. Notably paragraph 5 alleges William retains an ownership interest in AOIS. Thus, theoretically he was advantaged by Plaintiff's investments.

Concealment

For the same reasons as previously discussed, the TAC has sufficiently pled a duty to disclose via a fiduciary relationship and has sufficiently plead causation. Regarding William's argument that the concealment allegations are inconsistent with the affirmative misrepresentation allegations, the argument is not fully developed. In any event, the allegations are not necessarily incompatible.

Negligent Misrepresentation

The demurrer is OVERRULED.

The Court reincorporates its discussion concerning reliance and causation. As to William's argument the TAC does not allege that he supplied "transactional guidance", that rule is inapplicable under these circumstances. *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370 concerned a foreseeability issue not present here as there is no dispute the alleged misrepresentations were specifically directed towards Plaintiff.

Breach of Fiduciary Duty

The demurrer is OVERRULED. The Court reincorporates its ruling concerning fiduciary/confidential relationship, the link with William's alleged interests in AOIS, and causation.

Defendant William Jacques shall file an answer within 20 days.

Plaintiff shall prepare and submit the form of order within 2 weeks.

3. 24CV03690 Piazza, Jason et al v. Tesla Energy Operations, Inc et al

EVENT: Petition to Compel Arbitration

Petition to Compel Arbitration is DENIED. The court finds Defendants waived their right to arbitration. To establish waiver under generally applicable contract law, the party opposing enforcement of a contractual agreement must prove by clear and convincing evidence that the waiving party knew of the contractual right and intentionally relinquished or abandoned it. (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 574)